

The self-employed may also utilize SEP IRAs or Solo 401(k) accounts. There are differences in contribution limits and other technical details between these plans, but the basic premise and strategies we describe are applicable to any of them.

Brad

A foundational part of our message at ChooseFI has become “control what you can control”—your current tax rate is part of that. Therefore, we advocate deferring as much as possible in your 401k and Traditional IRA because it lowers your income tax liability today.

Now we'll apply this concept to our example couple earning \$200,000. What if they employed the strategies discussed in the last chapter to reduce their annual spending to only \$40,000? They could save the maximum amount allowed in two 401(k) accounts (\$19,000 per person in 2019) and a health savings account (HSA) (\$7,000 per family in 2019). This means they could avoid paying taxes on \$45,000 of their most heavily taxed money while also being able to invest inside taxable and Roth accounts. Removing \$45,000 lowers taxable income from \$200,000 to \$155,000. Their marginal tax rate, the highest rate at which they are taxed, decreases from 24 to 22